

Analytical Study of a Retail Accessories Shop

A Proposal report for the BDM capstone Project

Submitted by

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Declaration Statement

I am working on a Project titled “Analytical Study of a Retail Accessories Shop”. I extend my appreciation to **Mr. Sudhir Kumar(Shop Owner)** , for providing the necessary resources that enabled me to conduct my project.

I hereby assert that the data presented and assessed in this project report is genuine and precise to the utmost extent of my knowledge and capabilities. The data has been gathered from primary sources and carefully analysed to assure its reliability.

Additionally, I affirm that all procedures employed for the purpose of data collection and analysis have been duly explained in this report. The outcomes and inferences derived from the data are an accurate depiction of the findings acquired through thorough analytical procedures.

I am dedicated to adhering to the principles of academic honesty and integrity, and I am receptive to any additional examination or validation of the data contained in this project report.

I understand that the execution of this project is intended for individual completion and is not to be undertaken collectively. I thus affirm that I am not engaged in any form of collaboration with other individuals, and that all the work undertaken has been solely conducted by me.

In the event that plagiarism is detected in the report at any stage of the project's completion, I am fully aware and prepared to accept disciplinary measures imposed by the relevant authority.

I understand that all recommendations made in this project report are within the context of the academic project taken up towards course fulfilment in the BS Degree Program offered by IIT Madras. The institution does not endorse any of the claims or comments.

Signature of Candidate

A handwritten signature in black ink, reading "Adhyan Mishra". The signature is written in a cursive style with a horizontal line underneath the name.

Name : Adhyan Mishra

Date : 1 October , 2024

1 Executive Summary

This Project mainly focuses on studying and suggesting possible solutions to the problems faced by the business 'Sudhir Kumar Belts & Goggles', a small shop operating at GT Road, Wazirpur, New Delhi. The business works on a B2C business model, serving a limited range of products directly to customers and importing products from some private suppliers.

The Key Challenges at 'Sudhir Kumar Belts & Goggles' are some of the dead stock - products which are already purchased by the owner but not sold to customers. The owner struggles with selecting the right quantity of products that should be purchased based on the past performance of the products. Moreover, the profit generation or growth of the business is somewhat constant.

To tackle these challenges at 'Sudhir Kumar Belts & Goggles', I plan to analyse the daily sellings of products through which I can get an idea about the most productive days of week. This analysis aims to formulate a systematic approach through which we can clear dead stocks from the shop. Secondly, through the data collected I will also try to fetch the list of products that are most and least profitable. Through a thorough analysis, my goal is to create a strategy which will help the owner to decide which products should be promoted on specific days to maximise the profits.

2 Organisation Background

Business Name : Sudhir Kumar Belts & Goggles

Address : Gt Road, Azadpur, North Delhi - 110033

Owner's Name : Sudhir Kumar

Sudhir Kumar Belts & Goggles, an accessories shop selling belts and goggles from last 40 years, operates at Gt road, Azadpur, North Delhi - 110033. Situated in a marketplace with about 20 - 25 vendors, the business operates in B2C capacity. Founded by Mr. Purushotam Kumar(owner's big brother) around 40 years ago, this shop was mostly managed by him only until due to family dispute which led to the owner taking the sole charge. This well-established enterprise has strong relationships with fellow businesses and customers. Over the years, Sudhir Kumar Belts &

Goggles has adapted to changing market trends and consumer needs, ensuring its relevance and sustainability in the competitive landscape of fashion accessories. In addition to its retail operations, the shop has cultivated a reputation for reliability and authenticity.

3 Problem Statement

3.1 The store is actually facing the problem of dead stock , particularly outdated belts and goggles. In addition to tying up capital, excess inventory occupies valuable storage space and limits the ability to introduce new trends , resulting in reduced profitability and customer dissatisfaction.

3.2 The shop experiences stagnant profit generation, with sales and revenue remaining nearly constant across all months. This lack of growth limits the business's ability to capitalise on peak seasons or market demand fluctuations, hindering opportunities for expansion, innovation, and overall profitability improvement.

4 Background of the Problem

The issues faced by Sudhir Kumar Belts & Goggles lay in the nature of their business. Specialising in belts and goggles, the store has built a reputation within the local marketplace. However, despite its history and established customer base, the shop faces critical challenges that are hindering its growth and profitability.

One major issue is the accumulation of dead stock, particularly outdated belt and goggle models. Fashion trends and customer preferences evolve rapidly, and the inability to move older inventory has resulted in capital being tied up in unsellable products. This not only occupies valuable storage space but also limits the shop's capacity to introduce new, trendier products that could attract more customers.

Another pressing concern is the shop's stagnant profit generation. Despite being located in a busy marketplace and catering to a steady customer flow, the sales and revenue figures have remained nearly the same month after month. This lack of growth reflects a failure to capitalise on market

fluctuations, including peak seasons and new fashion trends, leading to missed opportunities for increased profitability. Without addressing these issues, the store risks losing its relevance in an ever-evolving market.

5 Problem Solving Approach

5a. Details about the methods used with Justification:

Given the nature of the problems faced by 'Sudhir Kumar Belts & Goggles', a comprehensive approach involving both quantitative and qualitative methods is required.

Quantitative Methods:

Time-Series Analysis: Given the time-dependent nature of financial data, time-series analysis will help me identify trends, patterns, and variations in the business's financial aspects.

Statistical Computation: I plan to utilise various statistical computations to analyse financial data, extracting meaningful insights beyond specific methods like the Pareto Principle.

Correlation Analysis: Checking for any significant correlations between cost and selling price that could guide future pricing decisions.

Qualitative Methods:

Conversation: I plan to engage with the owner, Mr.Sudhir Kumar, to gather qualitative insights into the challenges faced, his perspectives on credit decisions, and preferences on margins.

5b. Details about the intended data collection with Justification:

Daily Data Collection: Collect detailed data on past transactions, including cost prices, selling prices, quantities sold, and quantities bought. This data will be used for financial analysis and the formulation of pricing strategies.

Justification:

Focusing on daily data collection which includes the number of pieces sold of every item streamlines the data collection process, ensuring a manageable yet representative sample for in-depth analysis. Variables such as Cost Price, Selling Price, Quantity Sold, provide crucial data points for computing key financial quantities.

5c. Analysis Tools and Justification:

Analysis tools:

Google Sheets and Excel: These will be used first to organise, clean, and analyse the data. We'll use them to make charts and do basic calculations to find useful information.

Justification:

Google Sheets and Excel: Efficient for data processing and analysis, providing a user-friendly interface for fundamental computations and chart creation.

6 Expected Timeline

6.1 Work breakdown structure:

- Data Collection: I collected data for 8 weeks (July and August) , spanning a total of nearly 60 days.
- Data Cleaning and Processing: I have successfully cleaned the data by mid of September.
- Proposal Preparation: : I prepared my project proposal by the end of September.
- Data Analysis: I started basic data analysis by the mid of September.
- My goal is to thoroughly analyse and offer final recommendations by the Mid of December.

6.2 Gantt Chart:

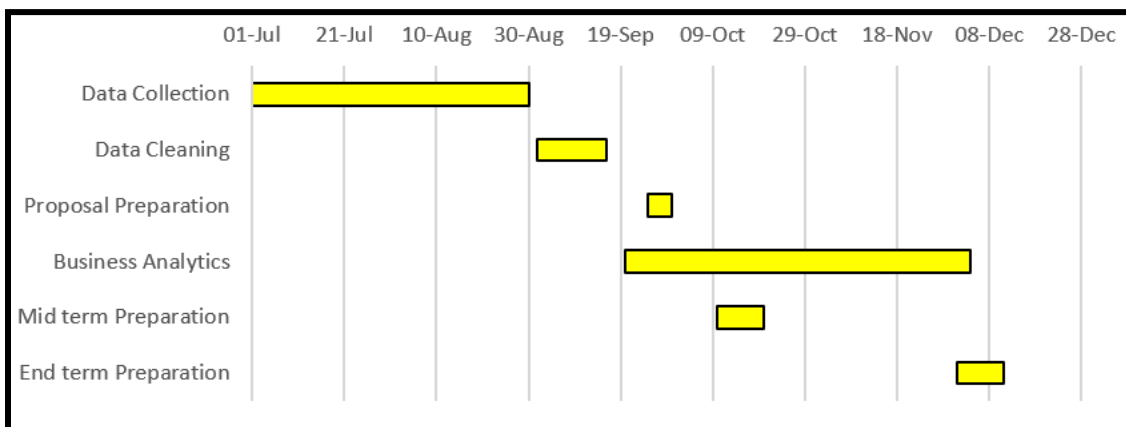


Figure 1 Expected timeline for completion of project.

7 Expected Outcome

- Provide a comprehensive financial overview of the business through data-driven analysis of various aspects.
- Identification of any brands that are currently being sold below or above their potential price.
- Recommendations for future pricing strategies to maximise profitability while maintaining competitiveness.
- Formulate strategies which can help the owner to identify the types of products which can be sold very quickly and also those products that can become a part of dead stock.